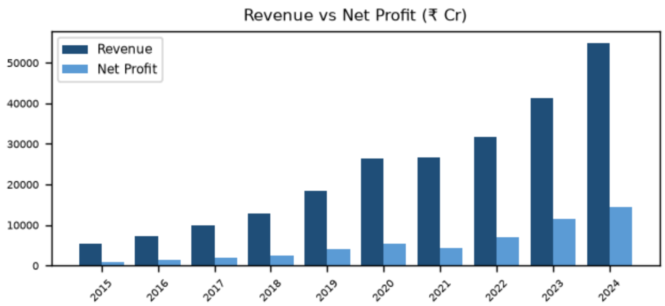
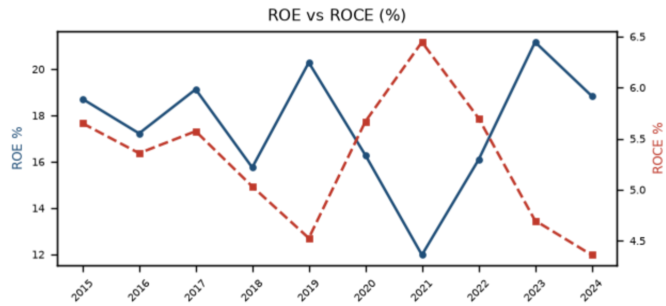
Bajaj Finance Ltd (BAJFINANCE)

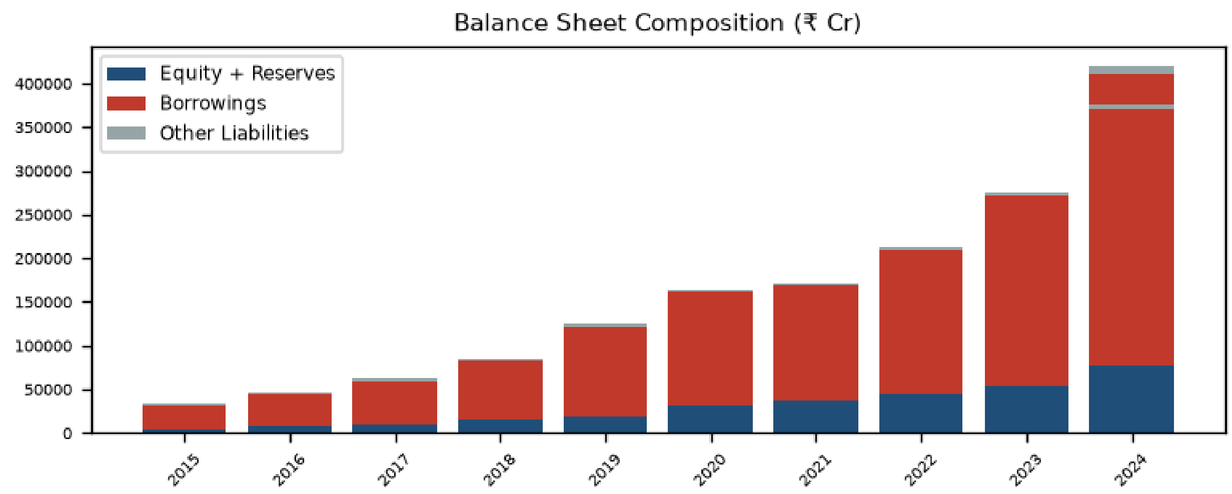
Financials — Consumer Finance

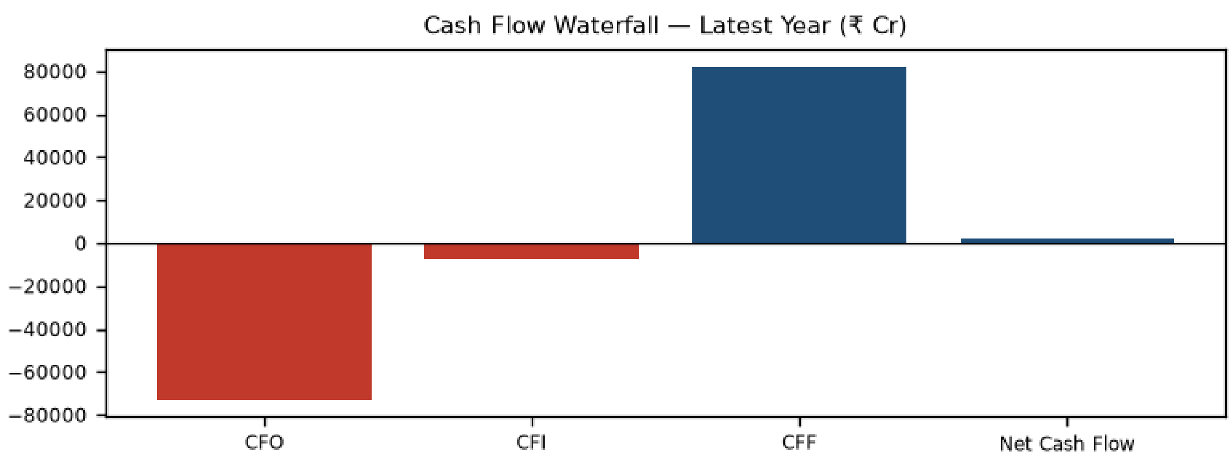
ROE	ROCE	Net Profit Margin
18.8%	4.4%	26.3%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
3.8x	24.4%	-79931





Bajaj Finance Ltd (BAJFINANCE) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Growth Funded by Debt

Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (69% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (62% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (65% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (100% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (66% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (65% confidence)

Cons

✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (85% confidence)
✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (66% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)